Credit Guarantee Scheme for Startups (CGSS) Operational Framework

Issuing Authority: Department for Promotion of Industry and Internal Trade, Govt. of India

1. Objective of Credit Guarantee for Startups

The Credit Guarantee Scheme for Startups (CGSS), managed by National Credit Guarantee Trustee Company (NCGTC), provides credit guarantees to Member Lending Institutions (MLIs) and Alternative Investment Funds (AIFs) to encourage collateral-free debt financing for DPIIT-recognized startups.

2. Maximum Guarantee Cover up to Rs. 10 Crore

The scheme covers loans up to Rs. 10 Crore per borrower startup. Guarantee coverage options include:

• Transaction-based guarantee: Guarantee cover up to 80% of sanctioned credit facility up to Rs. 3 Crore, and up to 75% for loans between Rs. 3 Crore and Rs. 5 Crore.

• Umbrella-based guarantee: Collective portfolio guarantee for venture debt funds.

3. Eligibility Criteria for Startups

Startups must possess a valid DPIIT certificate of recognition and show continuous commercial revenue generation over at least 12 months, or have secured equity backing from approved SEBI-registered Category I/II AIFs.

4. Concessional Guarantee Fees

Annual guarantee fee is capped at 2% on outstanding credit, with special concessions for women-led startups and units operating in social impact sectors (health-tech, clean-tech, agri-tech).